ACC202 Accounting Theory
Group Presentation

Hollywood Bowl Group PLC

Group No.16

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Introduction

1. Company Overview

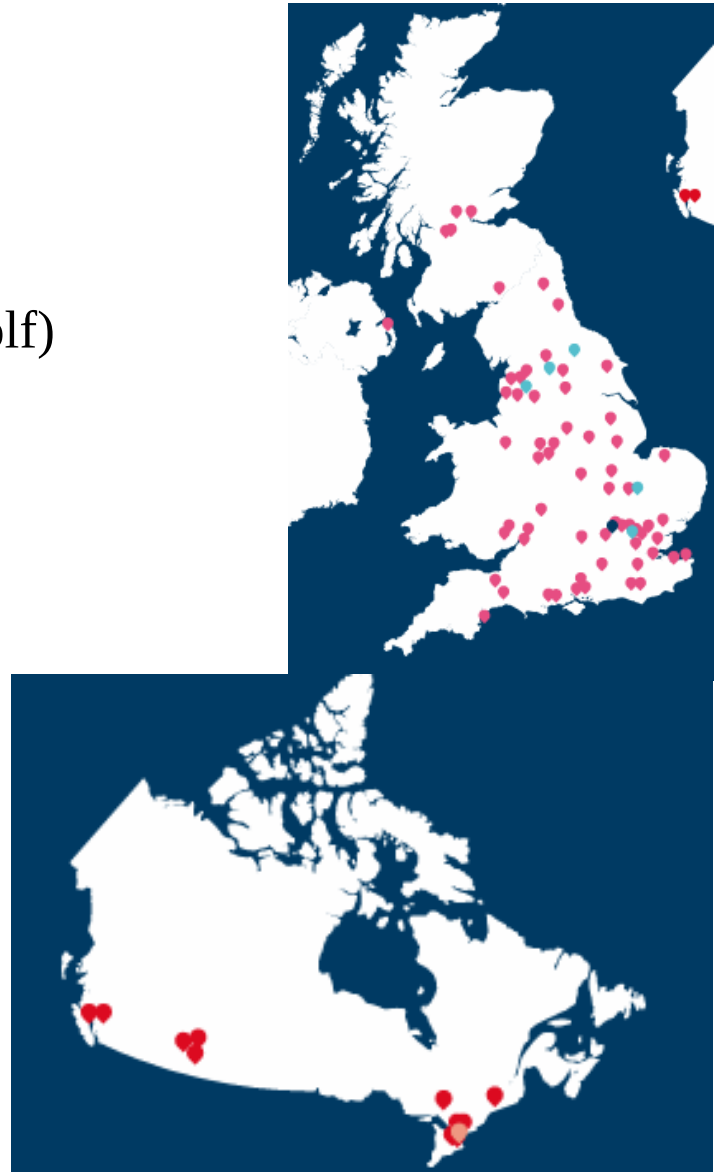
- Main Business: Bowling, mini-golf, amusements, food & beverages
- Brands: Hollywood Bowl (UK), Splitsville (Canada), Puttstars (Mini-Golf)

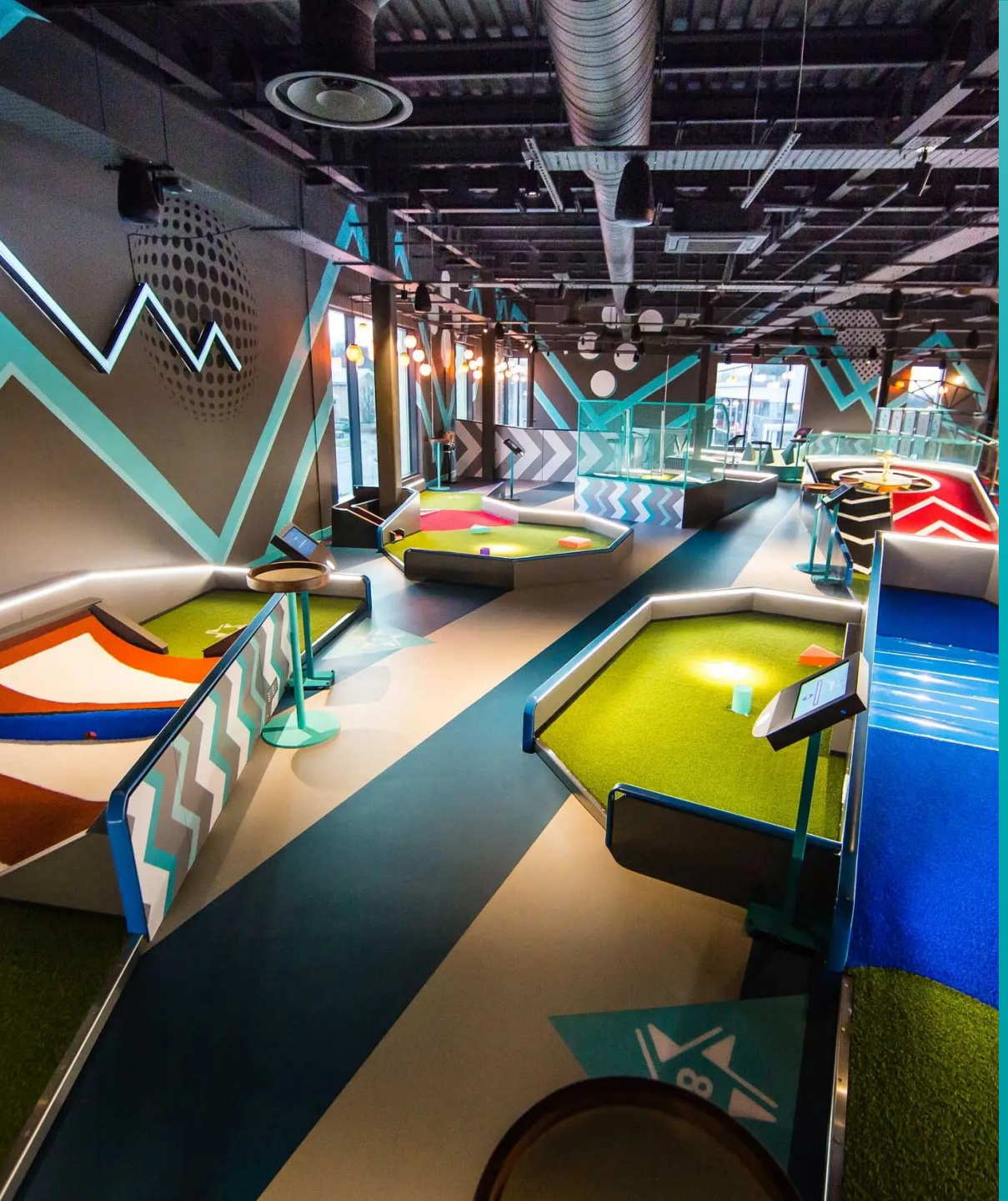
2. Business Environment

- Experience Economy: Consumers prefer social entertainment
- Retail + Leisure: Shopping centers expanding entertainment options
- Market Opportunity: Low bowling penetration in the UK, fragmented Canadian market

3. Competitive Challenges

- Economic Pressure: Inflation & rising living costs
- Increasing Competition: More social entertainment alternatives
- Expansion Challenges: High competition for prime locations
- Talent Retention: Recruiting & keeping top employees





Part Two

Factors that influence the company's accounting quality

- Contracting Motives
- External Motives
- Captial Market Motives

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Contracting Motives (El Diri, 2018)

-- Management Compensation

Observation:

1. Centre Managers earned bonus pay averaging 64% of base salary.
2. Over 50% of hourly-paid employees received bonuses linked to:

- Financial performance:

Group adjusted EBITDA, accounting for 80% of the weight of the annual bonus evaluation indicator

- Customer satisfaction

Hypothesis:

H1: Performance-linkd bonuses (EBITDA) may incentivize managers to adjust reported earnings. (Appendix 1)

H2: Earnings may be managed through expense deferral, early revenue recognition, or estimation adjustments (e.g., bad debt provision) (Graham, and Rajgopal, 2005).



Contracting Motives (El Diri, 2018)

-- Corporate Governance (Khan and Ali, 2023)

Observation:

Well-structured governance, including:

I. Audit Committee
II. Remuneration Committee
III. Nomination Committee

New Non-Executive Director appointed (30+ years' experience)
Audit Committee Chair retiring — oversight transition



Hypothesis:

H1: Strong governance may help constrain earnings management
H2: Board transition period may introduce temporary oversight gaps

External Motives

-- Industry (Covid-19) (Abbas et al., 2021) (Roberts, 2021)

Observation:

Impact of COVID-19：

Three nationwide lockdown policies

The demand for tourism and leisure has decreased

Impact of the end of COVID-19：

The end of lockdown policies

The demand for tourism and leisure has increased

2020.3.23 - 2020.5.10

2020.11.5 - 2020.12.2

2021.3.8 - 2021.7.19

Hypothesis:

1. Hollywood Bowl may reduce depreciation expenses to ensure that the company's financial report can reflect a better earnings profile. 2021
2. Reducing depreciation expenses by extending the useful life of their assets. 2022-2023

External Motives

-- Competitors (Ali and Anwar, 2021)



Observation:

Peer companies use earnings management methods,
such as reducing depreciation expenses, to enhance competitiveness.
It may pose a threat to the company.

Hypothesis:

Hollywood bowl will adjust the accounting methods to reduce depreciation expenses to enhance their industry competitiveness.

Earnings management ↓

Competitiveness ↑

Capital Market Motives (El Diri, 2018)

-- Mergers and acquisitions

Managers' Incentives

Observation:

1. Many acquisitions in 2022 & 2023
2. Doubts in auditor's report

(Details in Appendix 2)

Acquisitions:

Year	2021	2022	2023
Fair value of consideration transferred (£000)	Nil	10,080	7,716

2022:

The effect of these matters is that, as part of our risk assessment for audit planning purposes, we determined that the measurement of identified intangible and tangible assets had a high degree of estimation uncertainty, with a potential range of reasonable outcomes greater than our materiality for the financial statements as a whole.

2023:

The effect of these matters is that, as part of our risk assessment for audit planning purposes, we determined that the measurement of identified intangible assets had a high degree of estimation uncertainty.

Hypothesis (Alves, 2014):

Be optimistic to overestimate their intangible assets' fair value

→ Increase recoverable amount → Reduce impairment losses → Exaggerate profits

Capital Market Motives

-- Issuance of equity

Managers' Incentives

Observation:

1. Stock price & Trading volume bottomed out in Sep 2022, but subsequently recovered

   (Details in Appendix 3)

2. Retained earnings promoted greatly since 2022

(Yahoo Finance, 2025)



Hypothesis (Kimouche, 2022):

Extend amortization life, or

Reduce amortization expense

→ Favorable profit position → Investors' confidence

Year	2021	2022	2023
Retained earnings (£000)	113,187	146,479	156,537



PART 3

Line-item analysis

- 1. Revenue recognition policy
- 2. Credit sales policy
- 3. Depreciation policy of tangible assets
- 4. Amortisation and Impairment losses

Fanping Gu
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Revenue recognition policy:

Hollywood Bowl complies with IFRS 15 as their revenue recognition policy.

1. Bowling & Mini Golf：
Recognized when customers participate. Deposits held until service use.

2. Food & Beverages：
Recognized on product delivery, typically at payment.

3. Entertainment Facilities：
Recognized when customers use facilities.

4. Bowling Equipment Installation Contracts：
Recognized via percentage - completion method. Progress measured by ratio of incurred to total expected expenses.



Revenue recognition policy:

Independent auditor's report

To the members of Hollywood Bowl Group plc

KPMG

External Auditors' Report

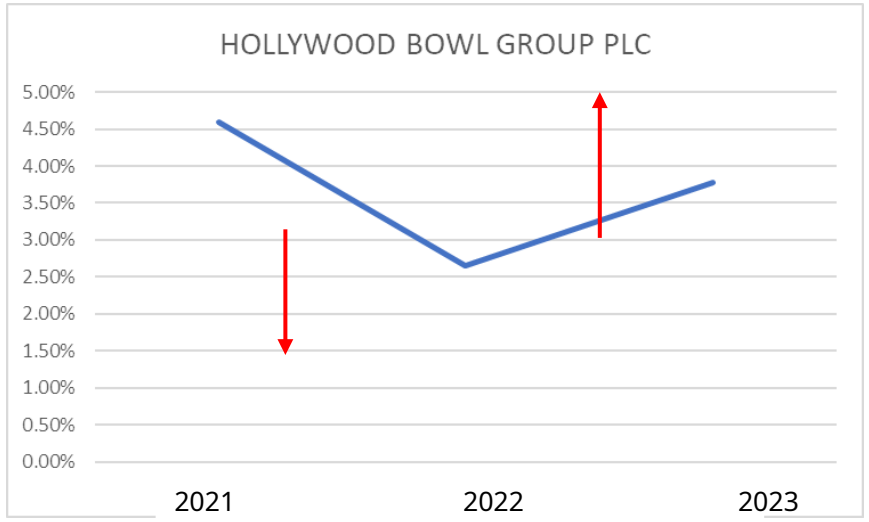
In our opinion:

- the financial statements give a true and fair view of the state of the Group's and of the parent Company's affairs as at 30 September 2022 and of the Group's profit for the year then ended;
- the Group financial statements have been properly prepared in accordance with UK-adopted international accounting standards;
- the parent Company financial statements have been properly prepared in accordance with UK accounting standards, including FRS 102, *The Financial Reporting Standard applicable in the UK and Republic of Ireland*; and
- the financial statements have been prepared in accordance with the requirements of the Companies Act 2006.

Consistent & No significant adjustment

Accounts receivable turnover efficiency

Trend & unusual change:



HOLLYWOOD BOWL GROUP PLC	2021	2022	2023
Receivables/Sales	4.59%	2.65%	3.77%
Inventories/Cost of sales	14.24%	7.31%	6.52%
Comptoir Group PLC	2021	2022	2023
Receivables/Sales	3.37%	4.06%	4.27%
Inventories/Cost of sales	12.46%	7.19%	7.71%
YOUNG & CO'S BREWERY PLC	2021	2022	2023
Receivables/Sales	11.82%	2.88%	2.58%
Inventories/Cost of sales	2.07%	1.79%	1.71%

Explaination:



Canadian market



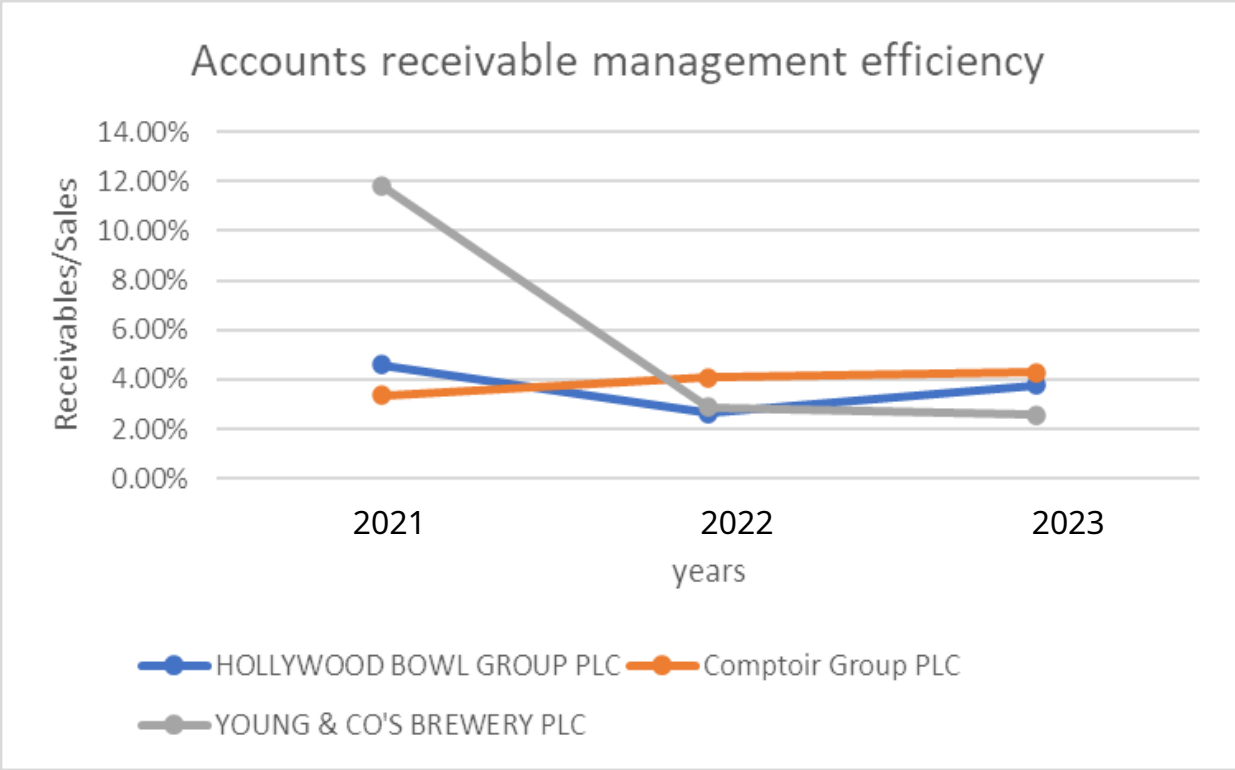
Revenue expansion



Customer growth

Credit Sales Policy

Comparison Trends between HBG and Two peer Companies



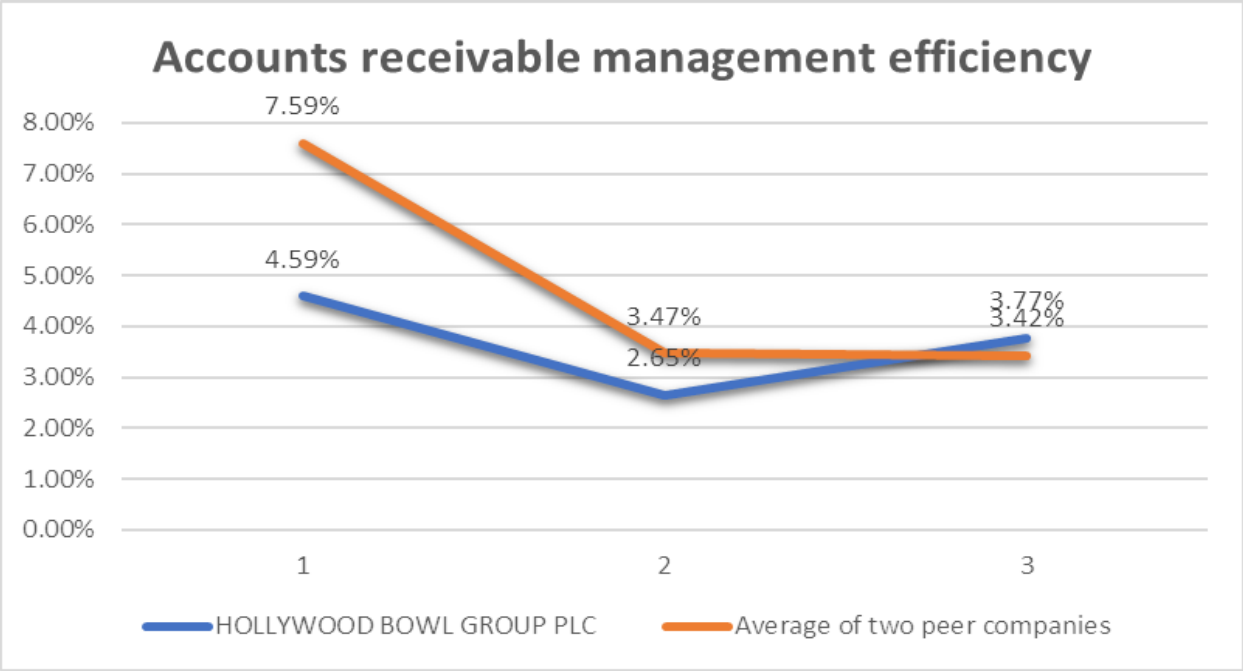
Hollywood Bowl has the **most stable performance** in accounts receivable control, Comptoir has a deterioration trend, and Young & Co's has returned to normal from abnormal volatility.

Receivables/Sales	2021	2022	2023
HOLLYWOOD BOWL GROUP PLC	4.59%	2.65%	3.77%
Comptoir Group PLC	3.37%	4.06%	4.27%
YOUNG & CO'S BREWERY PLC	11.82%	2.88%	2.58%

Detailed data (See in appendix 4)

Receivables / Sales

Comparison trend of HBG and the average values of the two companies (industry average)



- **HBG overall performance is more stable**
- **The overall performance of the industry is showing a downward trend**
- **Exceeding the industry average in 2023**

short recovery period
quick collection
strict policy
financial wealth
good management

	2021	2022	2023
Hollywood Bowl	4.59%	2.65%	3.77%
Comptoir Group PLC	3.37%	4.06%	4.27%
Young & Co's	11.82%	2.88%	2.58%
Average of two peer companies	**7.59%**	**3.47%**	**3.42%**

Average:

3.67%
3.90%
5.76%

VS

Average: 4.83%

Detailed data (See in appendix 5).

Depreciation

1.Accounting Policies on PPE

- **Hypothesis mentioned**: may have change in accounting method or useful life period to reduce depreciation expenses to enhance their industry competitiveness.

- **No change.**

(Depreciation method and useful life of PPE from 2021 to 2023 are in the appendix 6.)

2.Data

Hollywood Bowl Group plc	2021	2022	2023
	£000	£000	£000
Depreciation of PPE	7,740	8,721	10,142
Average cost of PPE	86,370	115,900	134,924
Depreciation charge on PPE as a percent of average cost	8.96%	1.14% → 7.52%	7.52%

Depreciation

In 2022, Hollywood Bowl Group plc started to acquire **freehold-backed business**. Depreciation rules and rate relate to this are **added** in the accounting policies (See in appendix 6).

Hollywood Bowl Group plc	2021	2022	2023
	£000	£000	£000
Depreciation of PPE	7,740	8,721	10,142
Average cost of PPE	86,370	115,900	134,924
Depreciation charge on PPE as a percent of average cost	8.96%	7.52%	7.52%

1.14%

Considering the inflluence to the results, data related to freehold property are excluded.

Hollywood Bowl Group plc (exclude freehold property)	2021	2022	2023
	£000	£000	£000
Depreciation of PPE	7,740	8,697	10,079
Average cost of PPE	86,370	108,494	128,035
Depreciation charge on PPE as a percent of average cost	8.96%	8.02%	7.87%

0.94%

Depreciation

Hollywood Bowl Group PLC (exclude freehold property)	2021	2022	2023
	£000	£000	£000
Depreciation of PPE	7,740	8,697	10,079
Average cost of PPE	86,370	108,494	128,035
Depreciation charge on PPE as a percent of average cost	8.96%	8.02%	7.87%

0.94%

Young & Co.'s Brewery, PLC	2021	2022	2023
	£000	£000	£000
Depreciation of PPE	25,900	24,200	26,000
Average cost of PPE	867,700	897,200	940,200
Depreciation charge on PPE as a percent of average cost	2.98%	2.70%	2.77%

0.28%

Comptoir Group PLC	2021	2022	2023
	£000	£000	£000
Depreciation of PPE	3,659	3,253	3,329
Average cost of PPE	46,649	47,090	49,798
Depreciation charge on PPE as a percent of average cost	7.84%	6.91%	6.68%

0.93%

Part 3 Amortisation and Impairment Losses

Relevant Ratio (Detail data in Appendix 7)

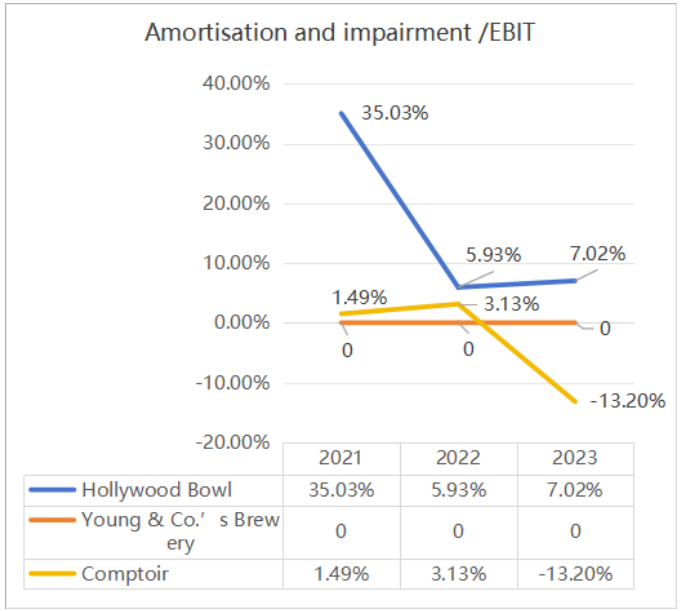


Figure1

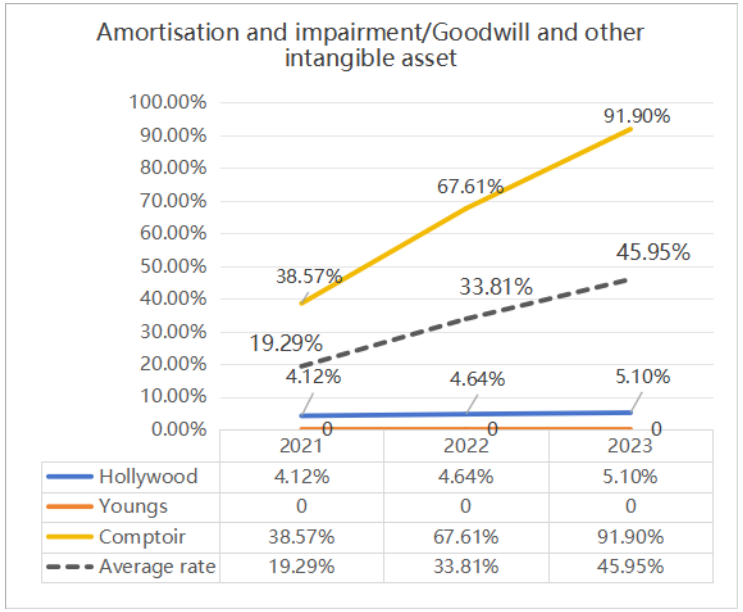


Figure2

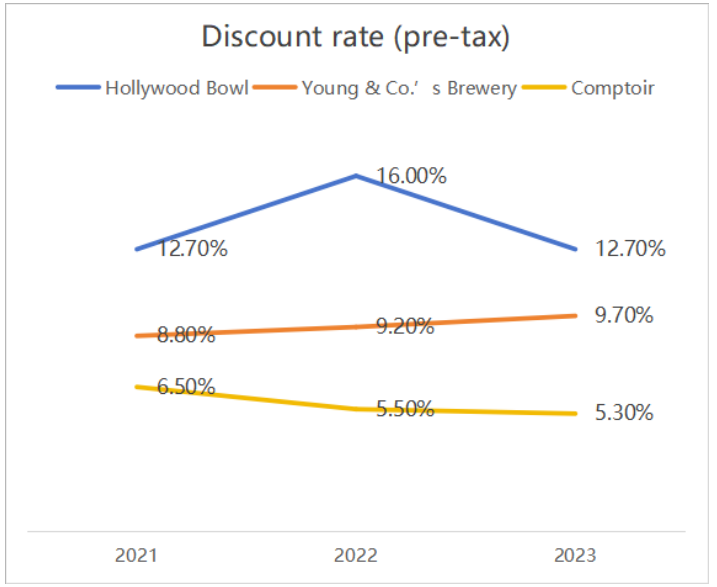


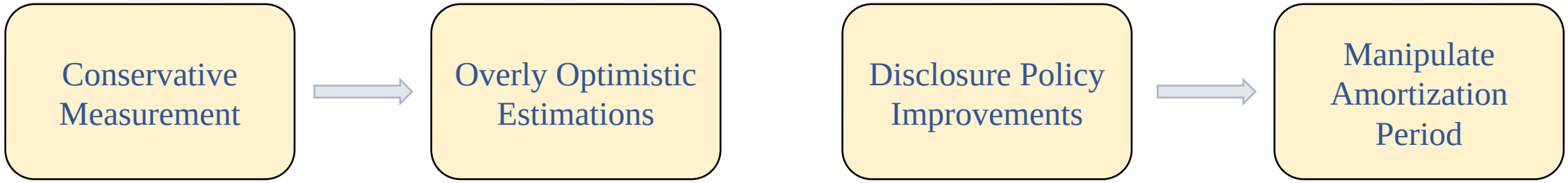
Figure3

Notes:

- Figure 1: illustrates the impact of amortization and impairment on EBIT.
- Figure 2: shows the effects of amortization and impairment on goodwill and intangible assets (with averages calculated based on comparable companies).
- Figure 3: reflects the company's risk assessment and financing cost preferences as indicated by the discount rate.

Part 3 Amortisation and Impairment Losses

Tips with the Hypothesis (Details in Appendix 8)



Conclusion:
When measuring the relevant value(Appendix 7 and relevant ratios), Hollywood Bowl has annotated the varying changes in different components (e.g., trademarks, software, goodwill, etc.). The indicators are relatively normal, and any outliers can be reasonably explained.
In determining the amortization period, there has been an improvement in detail and transparency(Appendix 8).
Thus, there is no clear indication that Hollywood Bowl have used overly optimistic estimates, nor has any intentional or substantial modification to the relevant amortization policies been identified.

Summary

The analysis suggest that Hollywood Bowl Group PLC:

Has no significant change in :

- Revenue recognition policy
- Credit sales policy
- Depreciation on PPE
- Amortisation and impairment losses

No significant distortion.

Limitations of the research:

- Extreme data in peer companies
- Inconsistant company scales
- The transparency of the disclosure



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Hai Jiang

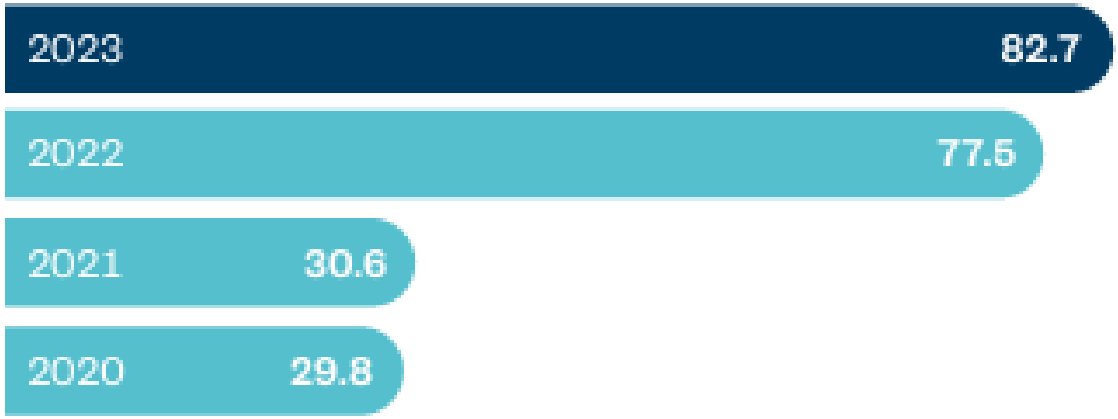
Yu Sun

Jingwei Liu

Appendix-1

Group adjusted EBITDA (£m)

+6.8%



Definition

Group adjusted EBITDA is calculated as operating profit before depreciation, impairment, amortisation, loss on disposal of property, plant, equipment and software and exceptional items. A reconciliation between Group adjusted EBITDA and statutory operating profit is on page 39.

Comment

Group adjusted EBITDA increased by £5.2m to £82.7m, largely due to revenue growth as well as the Canadian business being owned for the full financial year.

Appendix-2

Independent auditor's reports

2022:

The risk

Forecast-based valuation:

During the year, the Group acquired 100% of the issued share capital of Teaquinn Holdings Inc, in Canada, for fair value of consideration of £10.1m.

The determination of the fair value estimate for the valuation of the separately identifiable, acquisition-related intangible assets and freehold property involves subjective estimates or uncertainties, which requires special audit consideration because of the likelihood and potential magnitude of misstatements relating to the valuation of intangible and tangible assets.

Accounting for the transaction involves estimating the fair value, at acquisition date, of the assets, including the identification and valuation, where appropriate, of intangible and tangible assets. This is a particularly complex and challenging area and requires skilled expertise in making these determinations and thus results in a heightened risk of error in determining the fair value of the intangible and tangible assets (property).

The effect of these matters is that, as part of our risk assessment for audit planning purposes, we determined that the measurement of identified intangible and tangible assets had a high degree of estimation uncertainty, with a potential range of reasonable outcomes greater than our materiality for the financial statements as a whole.

2023:

The risk

Subjective estimate:

During the year, the Group acquired 100% of the issued share capital of HLD Investments Inc. (operating as YYC Bowling & Entertainment), Mountain View Bowl Inc and Wong and Lewis Investments Inc. (operating as Let's Bowl), based in Canada, for total consideration of £7.7m.

The determination of the fair value estimate for the valuation of the separately identifiable, acquisition-related intangible assets involves subjective estimates or uncertainties, which requires special audit consideration because of the likelihood and potential magnitude of misstatements relating to the valuation of intangible assets and subsequent valuation of goodwill.

The effect of these matters is that, as part of our risk assessment for audit planning purposes, we determined that the measurement of identified intangible assets had a high degree of estimation uncertainty.

Appendix-3

Stock price & Trading volume from 2021-2023 (MSN Money, 2025)





(Enlarged version for details around Sep 2022)

Appendix-4

Credit Sales Policy

HOLLYWOOD BOWL GROUP PLC	2021	2022	2023
	£m	£m	£m
receivables	3.30	5.13	8.12
sales	71.88	193.74	215.08
inventories	1.46	2.15	2.45
cost of sales	10.26	29.39	37.49
Comptoir Group PLC	2021	2022	2023
	£m	£m	£m
receivables	0.698	1.22	1.344
sales	20.71	30.05	31.48
inventories	0.465	0.475	0.521
cost of sales	3.73	6.61	6.76
YOUNG & CO'S BREWERY PLC	2021	2022	2023
	£m	£m	£m
receivables	10.4	8.9	9.5
sales	88	309	368.9
inventories	2.6	4.7	5.4
cost of sales	125.9	262.6	316.5

HBG and two peer companies' financial performance during 2021-2023

Appendix-5

Credit Sales Policy

Detailed data about HBG and two peer companies' average data

Receivables/Sales	2021	2022	2023	average	
HOLLYWOOD BOWL GROUP PLC	4.59%	2.65%	3.77%	3.67%	
Comptoir Group PLC	3.37%	4.06%	4.27%	3.90%	4.83%
YOUNG & CO'S BREWERY PLC	11.82%	2.88%	2.58%	5.76%	
Average of two peer companies	7.59%	3.47%	3.42%		

Compare the trends& magnitude of the change
Approximate industry average

Appendix-6

Depreciation:

- Depreciation method from 2021 to 2023

Property, plant and equipment is stated at historic cost, including expenditure that is directly attributable to the acquired item, less accumulated depreciation and impairment losses.

All other property, plant and equipment is stated at historic cost, including expenditure that is directly attributable to the acquired item, less accumulated depreciation and impairment losses.

All other property, plant and equipment is stated at historic cost, including expenditure that is directly attributable to the acquired item, less accumulated depreciation and impairment losses.

- Useful life of PPE from 2021 to 2023

Leasehold property	lesser of lease period and 25 years
Lanes and pins on strings	over 30–40 years
Plant and machinery and fixtures, fittings and equipment	over 3–25 years
Pinspotters	up to 10 years

Freehold property	over 50 years
Leasehold property	lesser of lease period and 25 years
Lanes and Pins on Strings	over 30–40 years
Plant and machinery and fixtures, fittings and equipment	over 3–25 years
Pinspotters	up to 10 years

Freehold property	over 50 years
Leasehold property	lesser of lease period and 25 years
Lanes and Pins on Strings	over 30–40 years
Plant and machinery and fixtures, fittings and equipment	over 3–25 years
Pinspotters	up to 10 years

- Depreciation rules and rates relate to free-hold backed business added in 2022.

Property, plant and equipment

Freehold land and building assets were included at fair value on the acquisition of Teaquinn. Subsequent additions are recorded at cost less accumulated depreciation and impairment charges. Freehold land is not depreciated.

Freehold property	over 50 years
Leasehold property	lesser of lease period and 25 years
Lanes and Pins on Strings	over 30–40 years
Plant and machinery and fixtures, fittings and equipment	over 3–25 years
Pinspotters	up to 10 years

Appendix-7

Amortisation and Impairment Losses

Notes

Hollywood
Revenue dropped sharply but rebounded post-pandemic. With acquisitions, it boosting stable EBIT

Youngs
2021 losses reversed in 2022, but financial disclosures lacked transparency (only goodwill shown).

Comptoir
Poor operations caused revenue decline, with goodwill and intangible asset impairments crashing net book value.

Basic Data

Hollywood Bowl (£,000)	2021	2022	2023
EBIT	9,580	67,097	68,361
Goodwill and other intangible asset	81,304	85,774	94,176
Amortisation and impairment	3,356	3,980	4,800
NBV	77,948	81,794	89,376

Young & Co.’s Brewery(£,000)	2021	2022	2023
EBIT	-35,300	51,600	43,700
Goodwill and other intangible asset	31,000	31,000	31,000
Amortisation and impairment	0	0	0
NBV	31000	31000	31000

Comptoir(£,000)	2021	2022	2023
EBIT	2,347.26	1,945.15	-625.95
Goodwill and other intangible asset	89.96	89.96	89.96
Amortisation and impairment	34.69	60.83	82.68
NBV	55.27	29.13	7.28

Appendix-8

Amortisation and Impairment Losses

Relevant Amortization Policy Improvements

HollywoodBowl	2021	2022	2023
Software	over 3 years	over 3 years	over 3 years
Customer relationships	non	over10–15years	over 10–15 years
Brandnames	over 20 years	over 5–20 years	over 5–20 years
Trademark	over 20 years	over 20 years	over 20 years

Thank you

